FY2025 US transfer pricing local file

Final economic analysis | issued 17 June 2026 | additional filing note 14 October 2026

PREPARED FOR	Asterion Motion Systems Inc., US federal income-tax compliance
PREPARED BY	Asterion Group Tax Economics; review by Bellmount Advisory LLP
TESTED PARTY	Asterion Motion Systems Inc. (US distribution operations)
CONTEMPORANEOUS PERIOD	1 January to 31 December 2025; financial close in April 2026

Executive method statement

The entity purchases industrial drive products from controlled manufacturers for resale to customers in North America, purchases a larger product portfolio from independent suppliers, and incurs distribution, warranty and local commercial costs. It does not own the principal manufacturing intangibles. For tax purposes, the comparable profits method (CPM) was selected as the most reliable method to test its routine distribution result. The tested profit-level indicator is operating profit divided by third-party net sales.

The tested population uses Asterion US distribution operations in aggregate. It includes AX14, CN08, OP03 and multiple third-party-sourced product lines. The report does not purport to rebuild each import entry, nor does the analysis disaggregate manufactured-unit prices by entry. Group tax considers enterprise-wide operating profit more stable than a product-specific gross return because launch investments, rebates and warranty costs cross product programmes.

Tested financial information

FY2025 line	USD	Method note
Net third-party sales	25,600,000	Net of documented customer returns and discounts.
Cost of goods sold before close	19,300,000	Includes provisional intercompany invoices and other supply.
Operating expenses before close	5,420,000	US commercial and technical functions.
FY2025 net closing cost adjustments	(324,157)	Final journal effects reflected in 2025 filed return.
Final operating result	1,204,157	Operating profit / net sales approximately 4.70%.

Comparable screening

A search for independent routine distributors of industrial machinery, motion equipment and industrial components produced six comparables following review of functional intensity, ownership of intangibles, geographic activity and fiscal-year consistency. The selected range is reported below; the full screening trace is held in the tax workpapers.

Indicator	US 2025	Interquartile range	Median
Operating profit / net sales	4.70%	3.10%-6.25%	4.65%